Management's Statement of Responsibility



D.H. Lees
President and
Chief Executive Officer



M.H. Vels
Chief Financial Officer



L.J. Palko
Senior Vice-President,
Finance and
Corporate Secretary

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with generally accepted accounting principles which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically, and at least semi-annually, with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.

Auditors' Report

To the Shareholders of Canada Bread Company, Limited

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 27, 1997 and December 28, 1996 and the consolidated statements of earnings, retained earnings and changes in financial position for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 27, 1997 and December 28, 1996 and the results of its operations and the changes in its financial position for the years then ended in accordance with generally accepted accounting principles.

KPMG

Chartered Accountants

Toronto, Canada,
February 27, 1998.

Consolidated Balance Sheets

(thousands of Canadian dollars)

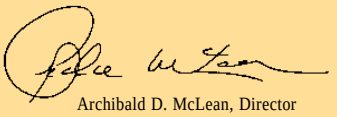
As at	December 27, 1997	December 28, 1996
Assets		
Current assets:		
Cash	**$ —**	$ 824
Accounts receivable	**43,988**	48,205
Due from related company (note 11)	**6,299**	3,920
Inventories	**13,986**	15,625
Prepaid expenses	**3,798**	3,030
	68,071	71,604
Investment in associated company	**45,123**	42,468
Property and equipment (note 3)	**165,768**	145,059
Goodwill	**78,609**	89,942
	$357,571	$349,073
Liabilities and Shareholders' Equity		
Current liabilities:		
Bank indebtedness (note 4)	**$ 5,581**	$ 5,615
Accounts payable and accrued charges	**57,991**	68,259
Dividends payable	**1,284**	1,280
Income taxes payable	**6,501**	1,434
Current portion of long-term debt (note 4)	**197**	181
	71,554	76,769
Long-term debt (note 4)	**30,872**	40,447
Loan from Parent Company (note 4)	**—**	3,531
Deferred income taxes	**22,641**	22,997
Minority interest	**96**	157
Shareholders' Equity (note 6)	**232,408**	205,172
	$357,571	$349,073

See accompanying notes to consolidated financial statements

On behalf of the Board:



D.H. Lees, Director



Archibald D. McLean, Director

Consolidated Statements of Earnings

(thousands of Canadian dollars, except earnings per share amounts)

Years ended	**December 27, 1997**	December 28, 1996
Sales	**$515,364**	$540,251
Earnings from operations	**36,366**	37,131
Other income (note 8)	**12,631**	4,663
Earnings before interest and taxes	**48,997**	41,794
Interest expense (note 4)	**1,432**	3,033
Earnings before income taxes	**47,565**	38,761
Income taxes (note 9)	**16,420**	13,724
Earnings before minority interest	**31,145**	25,037
Minority interest	**(28)**	(31)
Net earnings for the year	**$ 31,117**	$ 25,006
Earnings per share (note 7)	**$1.46**	$1.17

See accompanying notes to consolidated financial statements

Consolidated Statements of Retained Earnings

(thousands of Canadian dollars)

Years ended	**December 27, 1997**	December 28, 1996
Retained earnings, beginning of year	**$169,827**	$149,949
Net earnings for the year	**31,117**	25,006
Dividends declared	**5,131**	5,128
Retained earnings, end of year	**$195,813**	$169,827

See accompanying notes to consolidated financial statements

Consolidated Statements of Changes in Financial Position

(thousands of Canadian dollars)

Years ended	December 27, 1997	December 28, 1996
Operating Activities		
Net earnings	**$ 31,117**	$ 25,006
Add (deduct) items not affecting cash:		
Depreciation	**14,979**	14,463
Amortization	**2,321**	2,403
Undistributed earnings of an associated company	**(2,655)**	(2,600)
Deferred income taxes	**1,875**	3,990
Minority interest	**28**	31
Gain on sale of business	**(4,000)**	—
Changes in non-cash working capital	**(6,172)**	5,585
	37,493	48,878
Financing Activities		
Dividends	**(5,128)**	(5,128)
Dividends paid to minority interest	**(14)**	(30)
Repayment of debt (note 4)	**(9,559)**	(124)
Repayment of debt to Parent Company (note 4)	**(3,531)**	(98)
Issue of share capital (note 7)	**964**	—
	(17,268)	(5,380)
Investing Activities		
Additions to property and equipment	**(51,191)**	(22,791)
Deferred acquisition costs (note 10)	**—**	(662)
Purchase of net assets of businesses (note 10)	**—**	(23,271)
Net proceeds on disposal of business	**30,176**	—
	(21,015)	(46,724)
Net decrease in cash during the year	**(790)**	(3,226)
Bank indebtedness, net of cash, beginning of year	**(4,791)**	(1,565)
Bank indebtedness, net of cash, end of year	**$ (5,581)**	$ (4,791)

See accompanying notes to consolidated financial statements

December 27, 1997 and December 28, 1996 (tabular amounts in thousands of dollars)

1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in a single industry consisting of the manufacture and sale of flour-based products, primarily bakery products. The fiscal year of the Company ends on the last Saturday of December. The fiscal years ended December 27, 1997 and December 28, 1996 are each comprised of 52 weeks. Canada Bread is 68% owned by Maple Leaf Foods Inc. ("Maple Leaf" or the "Parent Company").

2. Significant Accounting Policies

The following are the significant accounting policies of the Company:

The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimated.

(a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of Canada Bread and its subsidiaries.

The Company owns a 25% interest in Multi-Marques Inc. of Québec which is accounted for using the equity method.

(b) Inventories

Inventories, consisting primarily of ingredients and supplies, are valued at the lower of cost and replacement cost, as determined using the first-in, first-out method.

(c) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates which are based on the expected useful life of the asset:

Buildings	2½% – 5%
Machinery and equipment	7½% – 33⅓%
Leasehold improvements	over the term of the lease

(d) Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized substantially over forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred. The Company measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

(e) Translation of foreign currencies

The accounts of foreign subsidiaries are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average rate for the year for revenues and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholders' equity until realized.

Other monetary assets and liabilities denominated in foreign currencies are translated at year end exchange rates; exchange gains and losses are recognized in current earnings.

(f) Pension costs and obligations

The Company and its subsidiaries maintain defined benefit pension plans which provide retirement benefits for the employees. The market value of pension assets is determined using a five-year moving average basis. Pension obligations are determined by the Company's actuaries, using the accrued actuarial method and based on management's best estimate assumptions. Changes in the net value of pension assets or obligations arising from experience gains or losses, changes in assumptions and plan amendments and the net pension asset not previously recognized at the date the policy was implemented are amortized on a straight-line basis over the expected average remaining service life of the employee groups covered by the plans.

(g) Financial instruments

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the income or expense item to which the hedged position relates. Any accrued amounts

receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

(h) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

3. Property and Equipment

	1997	1996
Cost		
Land	**$ 13,751**	$ 9,796
Buildings	**42,520**	41,388
Machinery and equipment	**180,906**	163,898
Construction in progress	**13,728**	6,058
	250,905	221,140
Accumulated depreciation		
Buildings	**12,463**	11,707
Machinery and equipment	**72,674**	64,374
	85,137	76,081
Net book value	**$165,768**	$145,059

Net book value of equipment under capital lease is comprised of cost of $652,000 and accumulated depreciation of $85,000.

4. Financing

Bank Indebtedness

The Company has demand operating facilities of $37 million for short term borrowing requirements which bear interest at short term rates. Drawings under these facilities were $5,581,000 at December 27, 1997 [1996 – $5,615,000]. Interest on short-term debt expensed during the year is $134,000 [1996 – $347,000].

The unsecured loan from the Parent Company was repaid on January 2, 1997 (note 10). Interest paid at market rates in 1996 was $232,000.

Long Term Debt

The Company has 364-day revolving committed facilities with two Canadian chartered banks, each for $20 million. These facilities are available through September 2000 and may be extended annually by the banks. These facilities bear interest based on Bankers Acceptance rates for Canadian dollar loans and LIBOR for US dollar loans.

The Company's blended average cost of borrowing under these facilities for the year ended December 27, 1997 was 5.2% (1996 – 6.1%) after adjusting for interest rate derivative financial instruments (note 5).

	1997	1996
Revolving term facility	**$30,600**	$40,000
Obligations under capital leases and other long-term debt	**469**	628
	31,069	40,628
Less current portion	**197**	181
	$30,872	$40,447

Interest on long-term debt expensed during the year is $1,298,000 [1996 – $2,454,000].

During the year, $572,000 (1996 – nil) of interest was capitalized to property and equipment.

5. Financial Instruments

Foreign currency risk management

The Company uses derivative financial instruments, primarily forward exchange currency contracts to manage its currency exposures on export sales and expenditures denominated in foreign currencies.

At December 27, 1997 the Company had outstanding commitments to sell forward US$22,700,000 (1996 – US$44,837,000) which cover periods maturing within one year. The market value of outstanding forward foreign exchange contracts at December 27, 1997 would result in an unrealized loss of $317,169 (1996 – loss of $899,403). The unrealized loss is calculated based on closing market prices.

Interest rate risk management

The Company uses interest rate derivative financial instruments to manage its exposure to interest rate fluctuations. At December 27, 1997 the Company had a fixed rate swap contract for a notional principal amount of $10 million (1996 – $15 million) at a fixed rate of 6.3% which expires on February 16, 1998. The market value of the swap contract assuming termination of the contract on December 27, 1997 is a loss of $58,154 (1996 – $245,757) due to changes in market rates since the contract was entered into. Market values are determined by obtaining quotes from the counterparties for the same or similar financial instruments.

6. Shareholders' Equity

	1997	1996
Share capital	**$ 36,595**	$ 35,631
Retained earnings	**195,813**	169,827
Unrealized foreign currency adjustment	**—**	(286)
	$232,408	$205,172

7. Share Capital

Details of share transactions during the year are as follows:

	Unlimited Common Shares	
	Shares	Amount
Balance December 28, 1996 and December 30, 1995	21,336,812	$ 35,631
1997 transactions:		
Issued for cash on exercise of options	56,000	964
Balance December 27, 1997	21,392,812	$ 36,595

The Board of Directors have approved the issue of stock options to certain members of the Company's management under the Incentive Stock Option Plan. Up to 940,000 shares may be issued under this plan. To date 637,000 options have been granted, of which 613,000 options have been exercised or cancelled. There are 24,000 options outstanding which may be exercised at any time at a weighted average price of $15.46. Options to purchase 303,000 shares remain available to be granted in the future.

No significant dilution of earnings per common share would have resulted had all shares under the plan been issued.

8. Other Income

	1997	1996
Earnings from an associated company	**$ 4,800**	$ 4,600
Gain on sale of property and equipment	**480**	58
Gain on sale of business	**6,300**	—
Other	**1,051**	5
	$ 12,631	$ 4,663

9. Income Taxes

A reconciliation comparing income taxes (on earnings before income taxes excluding equity earnings from an associated company) calculated at the statutory rates to the amount provided in the accompanying consolidated financial statements is as follows:

	1997		1996	
Combined statutory rates	**$19,190**	**44.9%**	$15,202	44.5%
Increase (decrease) from:				
M & P credit	**(2,675)**	**(6.2)**	(2,235)	(6.5)
Non taxable (gains) losses	**(379)**	**(0.9)**	—	—
Non-deductible goodwill amortization	**739**	**1.7**	862	2.5
Other	**(455)**	**(1.1)**	(105)	(0.3)
Total income taxes	**$16,420**	**38.4%**	$13,724	40.2%

10. Acquisitions and Divestitures

During 1997, the Company completed the following transactions:

a) On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. and its 80% partnership interest in its related financing company to Maple Leaf. Total proceeds of US$20.4 million (Cdn$27 million) was received and resulted in a net after-tax gain on sale of $4 million. The sale price was determined by a valuation conducted by an independent valuator and was approved by a committee of independent members of the Board of Directors. In connection with this transaction, the loan from the Parent Company of $3,531,000 outstanding at December 28, 1996 was repaid on January 2, 1997.

During 1996, the Company completed the following transactions:

a) In April, the Company acquired the net assets of Bella Pasta Inc. of Stoney Creek, Ontario.

b) In May, the Company acquired the net assets of Venice Bakery Ltd. of Vancouver, British Columbia.

c) In October, the Company acquired the net assets of West Coast Bakery Limited of Cornerbrook, Newfoundland.

d) Pursuant to the 1993 Brooklyn Bagel Boys, Inc. purchase agreement, a final deferred purchase payment of $662,000 was accrued in 1996 and included in goodwill (1995 – nil). The amount was paid in March 1997.

Details of net assets acquired in 1996 are as follows:

	1996
Net working capital	$ 4,181
Fixed assets	9,896
Goodwill	9,946
	24,023
Long term debt assumed	(752)
Total consideration	$23,271

11. Related Party Transactions

(a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at market amounts.

(b) Prior to February 28, 1997 a substantial portion of the Company's flour requirements were purchased from a related company at market prices.

(c) Purchases from and sales to an equity accounted affiliate in the normal course of operations totaled $23,000 [1996 – $39,000] and $146,000 [1996 – $221,000], respectively and have been recorded at market prices.

(d) Maple Leaf provides the Company with certain management services including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $2,730,000 (1996 – $1,888,000) to Maple Leaf which approximates the cost of providing these services. The Company also entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf USA), whereby Maple Leaf USA administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors.

(e) The Company receives certain information system services from Maple Leaf and is charged with direct costs incurred.

12. Pension Plans

The approximate present value of accrued pension benefits at December 27, 1997 was $48,089,000 [1996 – $51,780,000]. The net assets of these pension plans, at market related values, were approximately $55,976,000 [1996 – $52,187,000].

13. Commitments and Contingencies

The Company has operating lease commitments in respect of property and equipment used in operations which require minimum annual payments as follows:

1998	$ 6,066
1999	5,040
2000	3,246
2001	2,135
2002	1,514
Thereafter	3,041
	$21,042

Five Year Summary

(millions of dollars except per share and other data)

	1997	1996	1995	1994	1993
Operating Results					
Sales	**515.4**	540.3	478.2	424.8	360.2
Net earnings (1) (3)	**31.1**	25.0	21.9	22.3	21.4
Cash provided from operating activities	**37.5**	48.9	25.2	36.6	29.3
Depreciation and amortization	**17.3**	16.9	14.7	13.3	10.8
Financial Position					
Fixed assets	**165.8**	145.1	126.9	119.3	100.8
Total assets	**357.6**	349.1	303.8	278.6	256.0
Net cash (borrowings)	**(36.6)**	(48.9)	(45.2)	(42.0)	(33.0)
Common Share Data (dollars per share)					
Net earnings (1) (2) (3)	**1.46**	1.17	1.04	1.06	1.02
Dividend declared	**0.24**	0.24	0.24	0.24	0.24
Other Data					
Shareholders' equity per common share	**10.86**	9.62	8.68	7.78	6.95
Return on shareholders' equity (%)	**13.4**	12.2	12.0	13.6	14.7
Common shares outstanding (000's)	**21,393**	21,337	21,337	21,003	20,955

(1) Includes a $1.3 million ($0.06 per share) after-tax gain on disposition of a division in 1993.

(2) Earnings per common share would not be significantly diluted if all shares under the Incentive Stock Option Plan and Employees and Dealers Incentive Share Purchase Plan had been issued.

(3) 1997 net earnings include a $4.0 million ($0.19 per share) after-tax gain on the sale of Brooklyn Bagel Boys Inc.